

#### Covid-19 scenario:

Multiplex were seeing signs of recovery after 18 months of the gap as vaccination picked-up pace, COVID-19 cases declined and the economy reopened. The omicron variant which is now the dominant variant is **less fatal** though fast-spreading which is why state governments have not ordered complete shutdown of the theatres except Delhi and Haryana. This will increase the confidence of the viewers to a great extent and going forward it will be very positive for the footfalls in the multiplex. Though the restrictions would dent the revenue for the multiplexes in the near term, the long-term growth prospects are again looking promising.

#### Strong Recovery in Q3:

Multiplex saw a strong recovery in Q3 led by a strong performance of movies such as Sooryavanshi, Spiderman, Pushpa , '83. The recovery was strong considering delayed reopening of theatres and occupancy restrictions in some states. Inox and PVR both saw an **increase in the Average Ticket Price in Q3**. Due to the rationalization measures taken up by the multiplex the management has indicated 8 to 10% of cost savings to be achieved over a period of time thereby helping to increase the profitability.

#### Triggers going forward:

The increase in the GDP per capita would lead to greater affordability thereby driving demand for viewing movies in multiplex. The content risk is being lowered as Hollywood and Regional movies (both in their original and dubbed versions) are able to command a greater share of Gross Box Office Collections. We believe **the risk from OTT is overhyped** as the economics of taking a movie directly to OTT for a reasonable budget movie is not compelling. As per the management commentary the window between theatrical and OTT release is now 4 weeks which will revert back to 8 weeks once the situation normalizes which will help to increase the theatrical contributions. Given the **strong content pipeline** across languages, announcement of release date of **fresh big-budget content** and higher pace of vaccinations, we expect a **meaningful recovery** in Indian multiplex industry. Besides, we expect **further consolidation in the industry wherein 8 to 10%** of the single screen to be shut down due to covid pain which would help the multiplex players to strengthen their positioning.

#### Valuation and Outlook:

The pandemic had a major impact on the business of the multiplex which led to the underperformance of the multiplex stocks. We believe that the lower impact of Omicron, rapid pace of vaccination and the strong pipeline will lead to a very healthy recovery. The love for cinema existing in the country and increasing footfalls as the economy opens up make us confident and positive on both INOX Leisure and PVR.

**INOX Leisure:**

**Inox Leisure reported a strong set of numbers with revenue below our estimates but a big beat on EBITDA margins.**

- **Revenue from operations** at INR 2,965 Mn vs INR 474 Mn qoq / INR 149 Mn yoy and below our estimate of INR 3,345 Mn
- **EBITDA** stood at INR 1,318 Mn vs INR 156 Mn / vs loss of INR (105) Mn | qoq / yoy and above our estimate of INR 634.3
- **EBITDA margins** stood at 44.4% Vs 32.9% QoQ Vs (70.2%) YoY
- **PBT loss** stood at a meagre INR (16) Mn vs loss of INR (1,167) Mn and loss of INR (1.368) Mn | qoq / yoy
- **PAT loss** stood at INR (13) Mn vs loss of INR (877) Mn and loss of INR (1025) Mn | qoq / yoy and above our estimate of INR (504)
- **EPS** stood INR (0.11) vs INR (7.2) / INR (10) | qoq / yoy

**Valuation and outlook**

Inox is currently trading at an EV/EBITDA multiple of 8.3x FY23e EBITDA. Movie exhibitors now have an extremely rich releases planned across Bollywood, Hollywood and Regional films (Tamil, Telugu, etc.) and producers are better prepared to time their releases this time. Inox Leisure's strong liquidity position coupled with net debt free status and high promoter holding enables its ambitious screen addition plan of adding 935 screens post FY22 which could probably drive it to leading position in India's movie exhibition industry over the long term.

We expect good traction in the media exhibition business people are more accepting of the conditions to watch a movie in theatre. The fatality of the variants are not so severe while more and more precautionary measures are taken by the exhibitors and movie goers. Post complete normalization, Inox's net debt free status and high promoter holding allows the company to take an aggressive plan on screen opening and possibly become the leader in the movie exhibition business in the long term.

**We therefore remain positive on the long-term prospects and retain a BUY rating on the stock, with an increased target price of INR 541 (earlier target INR 448), indicating an upside of 33% based on our FY24 estimates.**

| Income Statement (Rs in mn) | FY 19         | FY 20         | FY 21          | FY 22E         | FY 23E        | FY 24E        |
|-----------------------------|---------------|---------------|----------------|----------------|---------------|---------------|
| Net Sales                   | 16,922        | 18,794        | 1,059          | 5,480          | 21,744        | 26,465        |
| EBITDA                      | 3,083         | 5,968         | 498            | 1,684          | 7,571         | 9,157         |
| <b>EBITDA %</b>             | <b>18.22%</b> | <b>31.46%</b> | <b>46.98%</b>  | <b>30.73%</b>  | <b>34.77%</b> | <b>34.60%</b> |
| PAT                         | 1,335         | 150           | (3,336)        | (2,528)        | 1,669         | 2,637         |
| PAT %                       | 7.89%         | 0.79%         | -314.90%       | -46.13%        | 7.67%         | 9.97%         |
| P/E                         | 30.90x        | 274.92x       | -13.56x        | -17.89x        | 27.09x        | 17.15x        |
| EV/Sales                    | 2.47x         | 3.62x         | 68.39x         | 13.38x         | 3.51x         | 2.87x         |
| <b>EV/EBITDA</b>            | <b>13.58x</b> | <b>11.5x</b>  | <b>145.56x</b> | <b>43.54x</b>  | <b>10.08x</b> | <b>8.30x</b>  |
| Mcap/Sales                  | 2.44x         | 2.17x         | 42.69x         | 8.25x          | 2.08x         | 1.71x         |
| <b>Diluted EPS</b>          | <b>13.01</b>  | <b>1.46</b>   | <b>(29.65)</b> | <b>(22.47)</b> | <b>14.84</b>  | <b>23.44</b>  |

**PVR:**

PVR reported a strong set of numbers with reported which beat our estimates. EBITDA turned positive after 6 straight quarters of loss; however, it was a tad lower than our estimates due to higher other expenses.

- Revenue from operations at INR 6,142 Mn vs INR 1,203 Mn qoq / INR 454 Mn yoy and above our estimate of INR 5,516 Mn
- EBITDA stood at INR 1,650 Mn vs loss of INR (681) Mn / INR (781) Mn | qoq / yoy
- PBT loss stood at a meagre INR (192) Mn vs loss of INR (1,855) Mn and loss of INR (729) Mn | qoq / yoy
- PAT loss stood at INR (102) Mn vs loss of INR (1,532) Mn and loss of INR (493) Mn | qoq / yoy
- EPS stood INR (1.6) vs INR (25.2) / INR (9.6) | qoq / yoy
- PVR added 5 screens in Q3FY22 and 18 screens YTD with a total of 860 screens
- Admits stood at 14.5 Mn in Q3FY22 vs 3.2 Mn / 1 Mn in Q2FY22 / Q3FY21 respectively
- ATP stood at INR 239 in Q3FY22 vs INR 203 / INR 164 in Q2FY22 / Q3FY21 respectively
- SPH stood at INR 129 in Q3FY22 vs 128 / 95 Q2FY22 / Q3FY21 respectively
- Gross debt stands at INR 1,536.1 Cr in Q3 vs 1,593.5 Cr / 1,351.9 Cr in Q2FY22 / Q4FY21 respectively
- Net Debt stood at INR 857.6 Cr in Q3 vs 913.8 Cr / 619.6 Cr in Q2FY22 / Q4FY21 respectively

**Valuation & Outlook**

PVR is currently trading at an EV/EBITDA multiple of 12x / 8x FY23e / FY24e EBITDA.

Although the Omicron virus was spreading faster than previous 2 waves, it was relatively less fatal with noticeably quicker recoveries. Cinema houses were also not completely shut down as in previous waves and were allowed to remain open with restrictions barring Delhi and Haryana. Going ahead, we believe that each forthcoming wave (if at all) will be lesser fatal than the previous one – which should instill confidence in people to step out and for economies to completely open up. There is huge pent-up demand amongst consumers which has increased the ability to absorb higher prices – which is evident in this quarter's ATPs and SPHs.

PVR should benefit from a good headroom to increase prices in Tamil Nadu and Telangana where pricing caps were increased by government in 2018 and 2021 respectively. PVR would be a prime beneficiary of price increase in Telangana as the state accounts for 10% of PVR's total footfalls.

**Taking the above points into consideration, we retain our BUY rating on the stock and upgrade our target price (from INR 1,924) to INR 2,001 indicating an upside of 26% based on our FY24 estimates.**

| Income Statement (Rs in mn) | FY 19        | FY 20         | FY 21           | FY 22E         | FY 23E        | FY 24E        |
|-----------------------------|--------------|---------------|-----------------|----------------|---------------|---------------|
| Net Sales                   | 30,856       | 34,144        | 2,800           | 10,915         | 37,377        | 52,963        |
| EBITDA                      | 5,863        | 10,766        | (3,349)         | (308)          | 12,244        | 18,142        |
| <b>EBITDA %</b>             | <b>19%</b>   | <b>31.53%</b> | <b>-119.61%</b> | <b>-2.82%</b>  | <b>32.76%</b> | <b>34.25%</b> |
| PAT                         | 1,894        | 269           | (6,589)         | (5,810)        | 1,296         | 5,130         |
| PAT %                       | 6.14%        | 0.79%         | -235.3%         | -53.23%        | 3.47%         | 9.69%         |
| P/E                         | 40.5x        | 299.3x        | -12.5x          | -16.7x         | 74.7x         | 18.9x         |
| EV/Sales                    | 2.8x         | 3.8x          | 48x             | 13.7x          | 3.9x          | 2.4x          |
| <b>EV/EBITDA</b>            | <b>14.6x</b> | <b>11.9x</b>  | <b>-40.1x</b>   | <b>-485.8x</b> | <b>12x</b>    | <b>6.9x</b>   |
| Mcap/Sales                  | 2.4x         | 2.4x          | 29.4x           | 8.9x           | 2.6x          | 1.8x          |
| <b>Diluted EPS</b>          | <b>39.3</b>  | <b>5.3</b>    | <b>(127.5)</b>  | <b>(95.4)</b>  | <b>21.3</b>   | <b>84.3</b>   |

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